

2c. Content of A Level in Business (H431)

Area of Study	Content	Learners should be able to:
Introduction to Business	Enterprise	• explain what is meant by an entrepreneur and by enterprise • explain what is meant by the factors of production: land, labour, capital and enterprise • evaluate the impact and importance of the availability of factors of production for the stakeholders of a business • evaluate the impact on and the importance to the economy of entrepreneurship and enterprise • explain the role of the entrepreneur in making business decisions • evaluate the impact and importance of entrepreneurial activity for the stakeholders of a business.

Area of Study	Content	Learners should be able to:
Introduction to Business	Business sectors	- distinguish between primary, secondary and tertiary organisations - distinguish between private, public and third sector organisations - distinguish between local, national and international/global markets - distinguish between a national and multinational business.
	Types of business	- explain the legal structure of business: including sole trader, partnership, limited liability partnership, private limited company and public limited company - explain what is meant by limited liability and unlimited liability - evaluate the factors affecting the choice of legal structure of a business - evaluate the impact and importance of legal structure for the stakeholders of a business.
	Franchises and franchisees	- explain what is meant by a franchise - distinguish between franchisors and franchisees - evaluate the factors affecting the use of franchises to a business - evaluate the impact and importance of franchising to the stakeholders of a business - explain what is meant by co-operatives - evaluate the impact and importance of a co-operative structure to the stakeholders of a business.
	Business functions	- explain the functions of business, including marketing, production, operations management, accounting and finance, as well as customer service, sales and support services - evaluate the impact and importance of the functions of business to the stakeholders of a business.
	Business size and growth	- distinguish between small, medium and large enterprises - explain how and why the size of a business is measured - evaluate the factors affecting the size of a business - evaluate the impact and importance of the size of business to the stakeholders of a business.

Area of Study	Content	Learners should be able to:
Introduction to Business	External growth	• explain what is meant by a joint venture • explain what is meant by a strategic alliance • evaluate the impact and importance of joint ventures to a business and its stakeholders • evaluate the impact and importance of a strategic alliance to a business and its stakeholders.
Business objectives and strategy	Different stakeholder and business objectives	• distinguish between organisational aims, corporate/ business objectives, strategic objectives, tactical objectives and operational objectives • explain the importance of setting SMART objectives to a business and its stakeholders • explain what is meant by the hierarchy of objectives • evaluate the impact and importance of setting aims and objectives • explain how the sector in which a business operates affects its aims and objectives • explain how objectives can be communicated • evaluate the consequences of mis-communicating objectives to a business and its stakeholders • evaluate ways in which the objectives of a business could be better communicated • explain why the objectives of a business may need to change • recommend and justify the aims and objectives for a business and how any changes may be implemented.
	Stakeholders	• explain what is meant by the term 'stakeholder' • identify the internal and external stakeholders of a business • analyse the objectives of the stakeholders of a business • explain the reasons for conflicts between different stakeholder groups • explain why a business needs to manage the conflicting objectives of its stakeholders • evaluate the impact on a business of different stakeholders having conflicting objectives • recommend and justify how a business should deal with the conflicting objectives of stakeholders • evaluate the influence different stakeholders have on a business including its aims and objectives, decision making, behaviour and performance • evaluate the impact of business decisions on different stakeholders groups.

Area of Study	Content	Learners should be able to:
Business objectives and strategy	Mission statement	• explain the nature and purpose of a mission statement • recommend and justify a suitable mission statement for a business • evaluate the advantages and disadvantages to a business of having a mission statement • evaluate the impact of changing a mission statement on a business and its stakeholders.
	Corporate social responsibility (CSR)	• explain what is meant by corporate social responsibility (CSR) • explain the potential conflict between CSR and profit and other objectives • evaluate the impact and importance of a CSR policy to a business and its stakeholders • evaluate the advantages and disadvantages of a business's CSR profile to the business and its stakeholders • recommend and justify how a business could improve its CSR profile • evaluate the impact and importance of CSR to a business and its stakeholders.
	Strategy and implementation	• explain the relationship between objectives, strategy and tactics • evaluate a business' current or proposed strategy • recommend and justify how a business could alter its strategy • evaluate the impact and importance of changing a business' strategy to the business and its stakeholders • explain why a business needs to plan its implementation strategy • evaluate the impact and importance of a strategy for a business and its stakeholders • recommend and justify a strategy for a business.

Area of Study	Content	Learners should be able to:
Business objectives and strategy	Business plan	• explain the purpose of a business plan • describe the main contents of a business plan and explain why these are included in the plan • evaluate the advantages and disadvantages to a business of having a business plan • evaluate the impact and importance of a business plan to the stakeholders of a business • explain what is meant by the 'Plan-Do-Review' cycle • analyse how the Plan-Do-Review cycle can improve a business' performance • evaluate the impact and importance of a strategic review to a business and its stakeholders.
	Risk and uncertainty	• explain what is meant by risk and reward • explain the relationship between risk and reward • evaluate the relationship between risk and reward in a business • distinguish between quantifiable and unquantifiable risk • evaluate quantifiable and unquantifiable risks to a business • evaluate ways in which a business can reduce its level of risk • evaluate the consequences to a business and its stakeholders of poor risk management • evaluate the specific risks faced by an entrepreneur • explain what is meant by uncertainty • distinguish between internal and external causes of uncertainty in a business • evaluate the impact of internal and external causes of uncertainty on a business and its stakeholders • explain how uncertainty can affect a business including effects on aims and objectives, planning, decision making, business analysis and forecasting.
	Opportunity cost	• explain what is meant by opportunity cost • identify the opportunity cost of a business decision • analyse the impact of opportunity cost on business decision making.

Area of Study	Content	Learners should be able to:
Business objectives and strategy	Contingency planning and crisis management	• explain the nature and purpose of contingency planning • evaluate the advantages and disadvantages of contingency planning to a business and its stakeholders • evaluate the impact and importance of contingency planning to a business and its stakeholders • recommend and justify a contingency plan for a business • explain the nature and purpose of crisis management • evaluate a business' crisis management.
	Models of strategic choice	• explain the nature and purpose of Porter's Five Forces model • evaluate a business' position/proposed position using Porter's Five Forces model • evaluate the usefulness of Porter's Five Forces model to a business • explain the nature and purpose of Porter's generic strategies • evaluate a business' position/proposed position using Porter's generic strategies • evaluate the usefulness of Porter's generic strategies to a business • explain what is meant by competitive advantage.

Area of Study	Content	Learners should be able to:
Business objectives and strategy	Measures of Performance: financial and non-financial	• distinguish between financial and non-financial measures of business performance • identify financial measures of business performance including final accounts, ratio analysis, gearing, cash flow, budgets and variance analysis • explain the importance to a business of using financial and non-financial measures of business performance • calculate financial measures of business performance • interpret financial measures of business performance • explain the difference between cash flow and profit • distinguish between measures of liquidity, profitability and efficiency • explain why a business' published accounts do not provide a complete picture of performance • identify non-financial measures of business performance including market share, resource utilisation, environmental impact, quality, customer satisfaction etc. • explain the importance to a business of using non-financial measures of business performance • explain why businesses measure performance • evaluate the advantages and disadvantages to a business of measuring performance • evaluate the performance of a business using financial and non-financial measures • evaluate the importance of different types of performance measures to different stakeholders • evaluate the performance of a business from the point of view of different stakeholders.

Area of Study	Content	Learners should be able to:
Business objectives and strategy	Forecasting	• explain the nature and purpose of forecasting • evaluate the advantages and disadvantages of using forecasts to a business and its stakeholders • distinguish between qualitative forecasting and quantitative forecasting • describe structured methods of qualitative forecasting including Delphi technique and expert opinion • describe unstructured methods of qualitative forecasting including brainstorming and intuition • evaluate the advantages and disadvantages to a business of using structured and unstructured methods of qualitative forecasting • calculate and interpret a range of quantitative financial forecasts including sales, costs, profit and cash flow • explain what is meant by seasonal and cyclical variations • calculate cyclical variation • analyse how seasonal and cyclical variations impact on forecasting • use correlations to analyse trends and make forecasts • extrapolate trends from numerical or graphical data and interpret the outcome • use time series analysis (moving averages – odd number of years) to predict future values • evaluate the usefulness of time series analysis for a business • recommend and justify how a business could respond to forecasts • evaluate the importance of accurate forecasting to a business and its stakeholders.

Area of Study	Content	Learners should be able to:
Business objectives and strategy	Decision making	• explain the nature and purpose of decision making • evaluate the impact and importance of effective decision making to a business and its stakeholders • evaluate factors which need to be taken into account when making business decisions including level of risk, nature of risk, accuracy of forecasts, volatility and potential for bias • explain the relationship between the aims and objectives of a business and its decision making • distinguish between short-term, medium-term and long-term decisions • distinguish between strategic, tactical and operational decisions • distinguish between quantitative and qualitative decision-making tools • evaluate the usefulness of different measures of performance: financial and non-financial • evaluate which course of action a business should take • evaluate the extent to which a business can be considered a success.
	Decision trees	• explain the nature and purpose of decision trees • calculate and interpret probabilities (in decimals and percentages) • calculate and interpret economic outcomes and expected values • evaluate the outcomes shown on a decision tree • evaluate how a business should respond to the information contained in a decision tree • assess the importance of the information shown on a decision tree to a business • assess the usefulness of a decision tree when making a business decision.
	Ansoff's matrix	• explain the nature and purpose of Ansoff's matrix • distinguish between the quadrants of Ansoff's matrix • identify examples of strategies for each quadrant of Ansoff's matrix • evaluate the level of risk for a business and its stakeholders in each quadrant in Ansoff's matrix • recommend and justify a strategy for a business using Ansoff's matrix • assess the usefulness of Ansoff's matrix when making a business decision.

Area of Study	Content	Learners should be able to:
Business objectives and strategy	Conflicts in business decision making	• explain why the results of one decision making tool may conflict with another • evaluate a business' decisions based on quantitative and qualitative information • evaluate the likely success of a business proposal using decision making tools • evaluate which course of action a business should take • evaluate the usefulness to a business of decision making tools • evaluate the strengths and limitations of decision making tools • evaluate reasons for success or failure of a business.